

with the amount to be deposited in the envelope per pay period. When you go out, take the envelope with you. Pay for the entertainment out of the envelope and put the change back in. The bottom line is, when the envelope is empty, you stop entertaining and recreating until the next payday.

This budget system will *not* keep you from overspending. You can always rob another envelope or get money out of the automatic teller. The purpose of any budget system is to tell you when you have spent what you previously decided you should—that's all.

CATEGORY 6: CLOTHING

About 5 percent of your net spendable income should go into buying the clothes your family needs. All too often, young couples allocate nothing for clothing. But this doesn't mean they don't need clothes. I have yet to counsel a naked couple, so quite obviously, there has to be a portion of the budget allocated to this category.

Usually what happens is the mandatory categories of the budget consume all of the income (housing, automobile, food, et cetera) and nothing is left for clothing. Consequently, nothing is allocated. But that is NOT a solution. It merely delays the inevitable conclusion that the other categories are out of balance. If you can't budget for clothes, your budget won't work. Once you settle on an amount for clothing, it's important to discipline yourself to use it only for clothes. When you look at your budget and you have a surplus one month, it's NOT a windfall profit. Allow the money to accumulate until it's time to buy clothes.

That's why it is important to spend based on your budget, not your checking account. As we saw earlier, the account sheets must control your spending, not the checkbook.

When you have children who are 13 or older, allow them to buy some of their own clothing. Give them a clothing budget, and let them select and maintain their own clothes.

Perhaps the best counsel that can be given about clothes is to budget regularly and buy quality. By the way, quality